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Research

The AI sell-off: Over or underdone?

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Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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This sell-off is not the first ... but the frequency of new AI tools has accelerated in recent months



Previous years ...

- 1) Mid-late 2022: Smaller AI firms find it difficult to attract capital during a broader risk-off move.
- 2) 2023: The 'first wave' of AI disruption fears. These typically included labour-based businesses providing simple, repetitive labour-based services – such as call centres and other offshored business process outsourcing businesses
- 3) 2024: Various small sell-offs which combined technology valuation issues with broader market concerns
- 4) Jan 2025: The release of a low-cost AI model by China's DeepSeek rattles US markets
- 5) Sept 2025: Fears grow in the software industry and reverberate around private capital managers with heavy exposure.
- 6) Oct 2025: Concerns grow for companies in the broader tech space including those that use platforms that investors fear might be replicated or disrupted by AI.

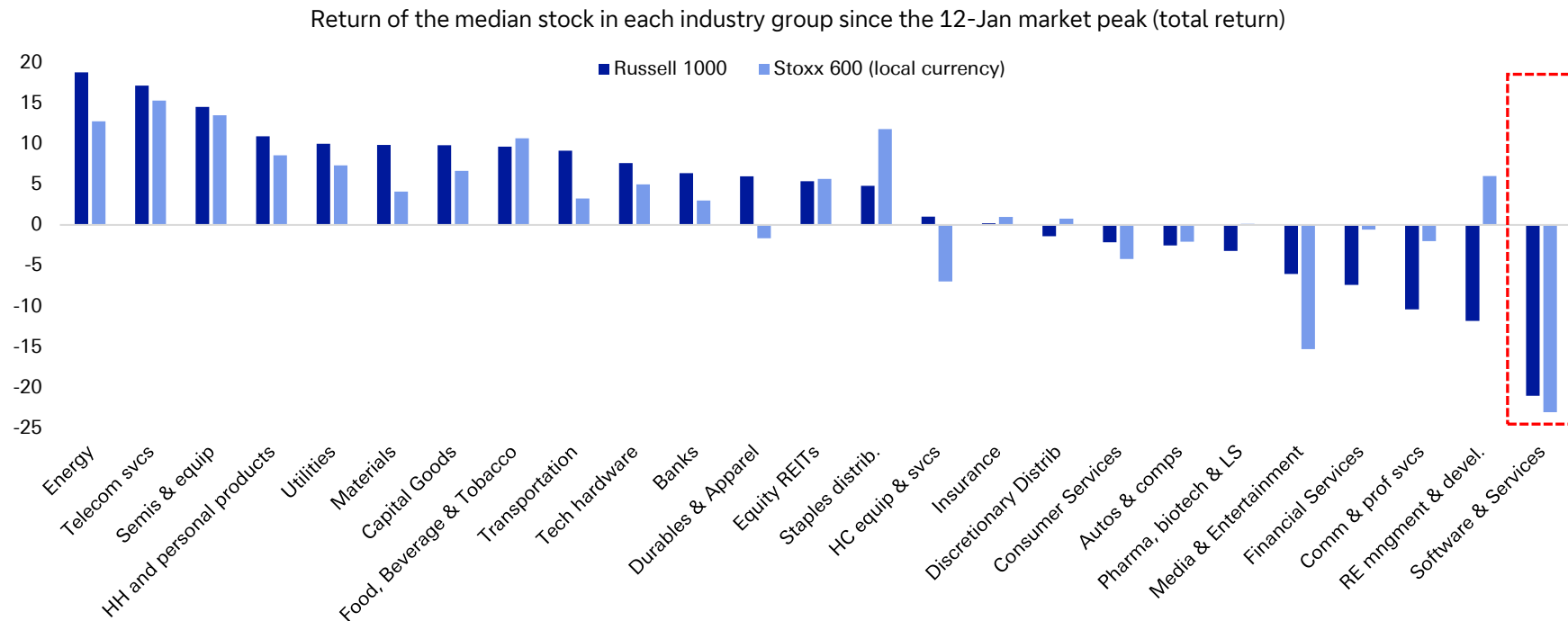
2026 (a small selection)

- 1) Jan: Google announces new tools for various products
- 2) Feb: Anthropic announces a variety of new AI tools
- 3) Feb: Algorhythm announced a new tool that helps companies scale their freight shipments
- 4) Feb: OpenAI announces 'Frontier', an enterprise platform for AI agents
- 5) Feb: Microsoft announces Agentic AI to automate many retail functions

Points to note:

- The most recent sell-off is quite distinct and includes a much broader view about how AI will impact businesses and their markets
- The sell-off reflects a view that current economic structures will change meaningfully as a result of the latest AI products being released.
- Many affected firms are network-based companies whose balance sheet assets are largely intangible, and whose services are largely intangible
- There has been a rotation towards companies with real assets and goods (eg defence, commodities, banks, utilities, capital goods sectors).

Software & services has been the worst performing industry group in both the US and Europe since the middle of January

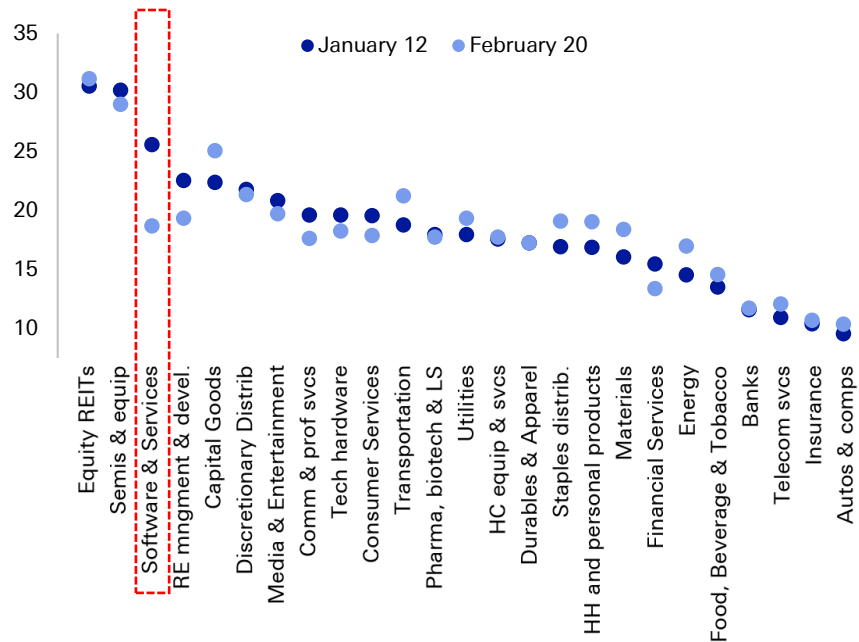


Source: Bloomberg Finance LP, Deutsche Bank.

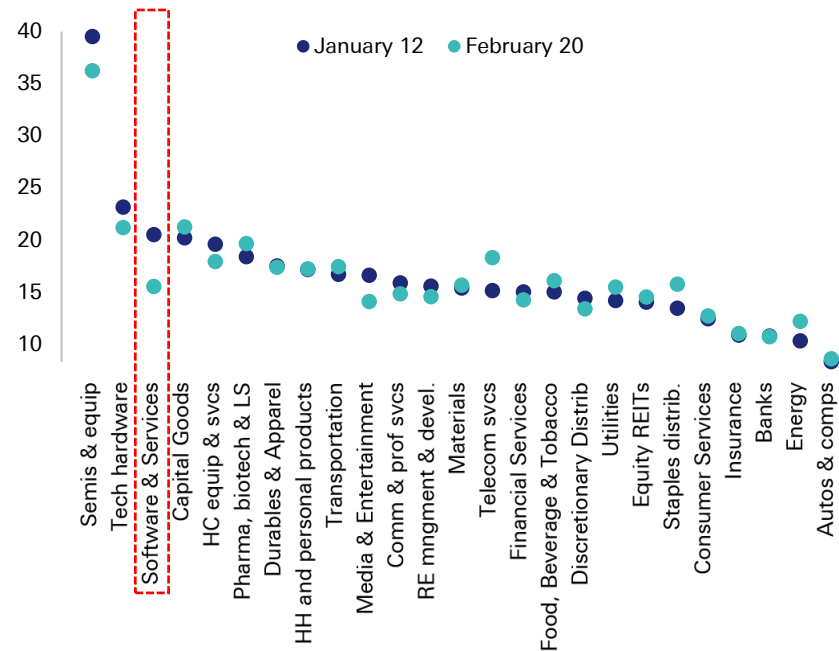
PE multiples: software & services used to be the 3rd most expensive industry group, it's now 9th (3rd to 13th in Europe), down by 5.8x (5x). No other industry group has seen a similar multiple re-rating.



Median blended-forward P/E multiple by industry group, Russell 1000



Median blended-forward P/E multiple by industry group, Stoxx 600

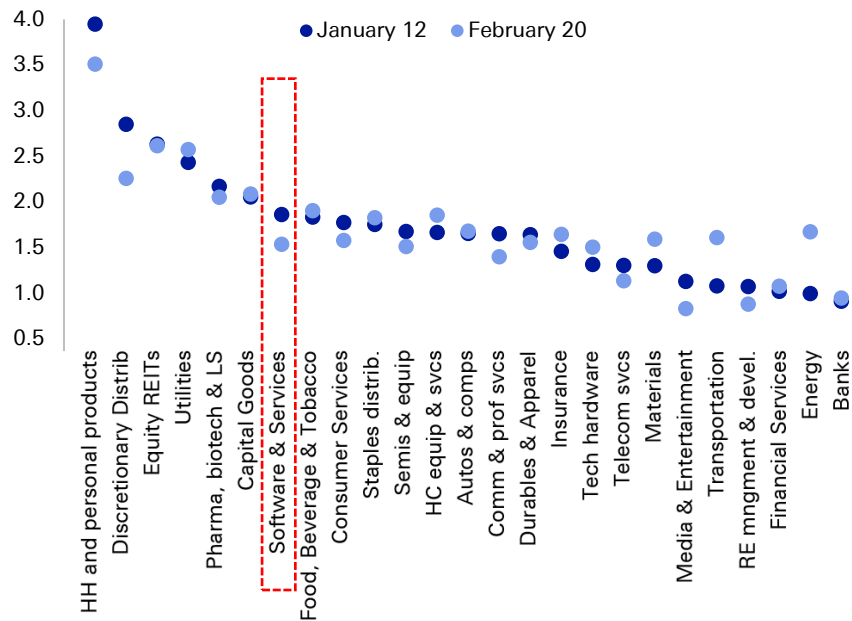


Source: Bloomberg Finance LP, Deutsche Bank.

It's a similar story for the PEG ratios. Although data is less available, software & services in the US slid from 7th to 17th most expensive industry group (3rd to 15th in Europe)

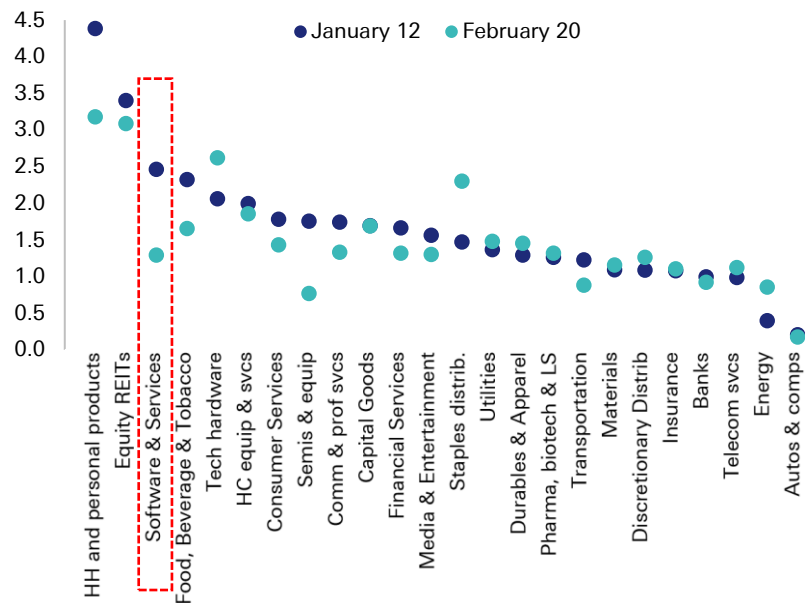


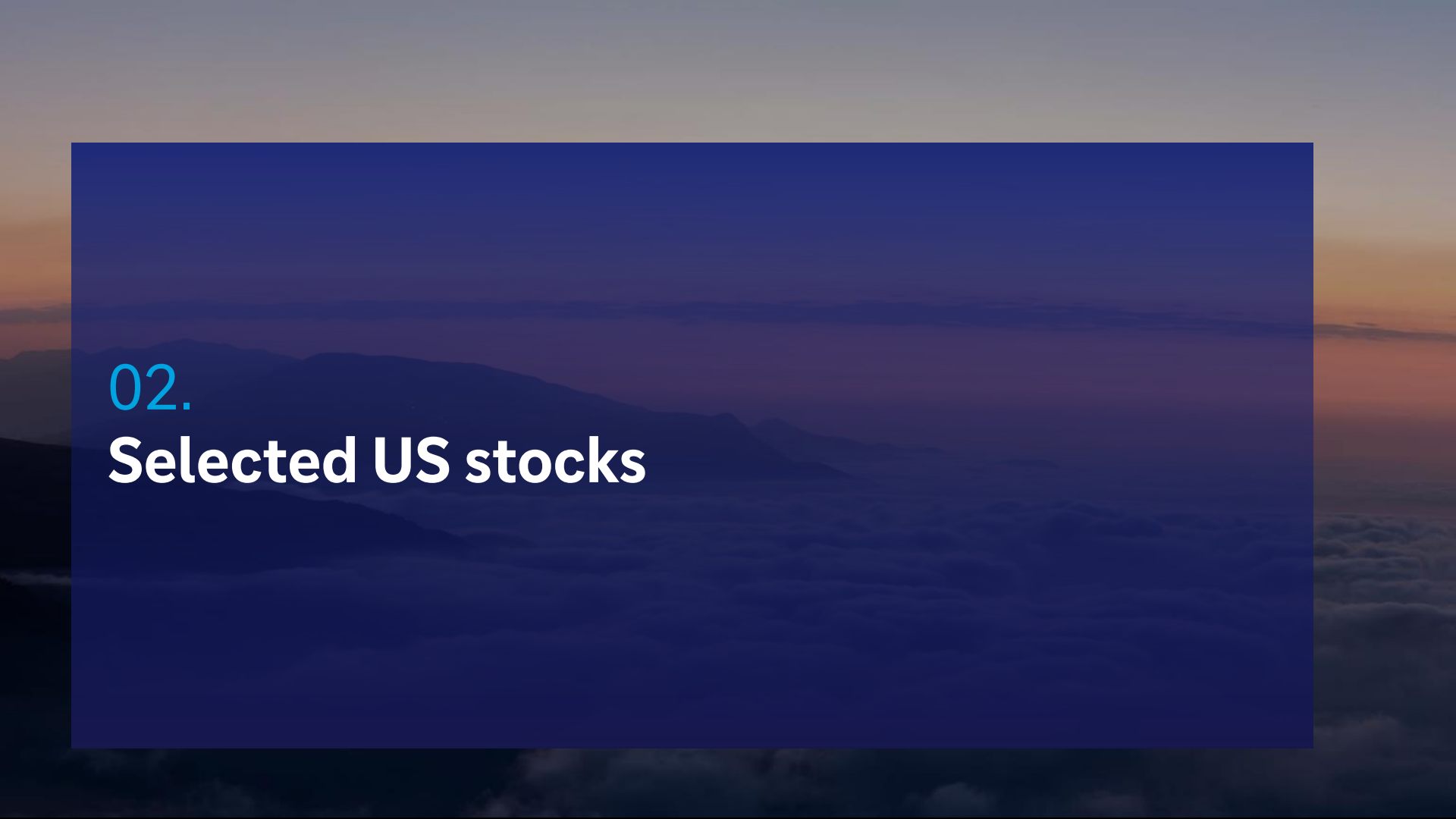
Median blended-forward PEG multiple by industry group, Russell 1000



Source: Bloomberg Finance LP, Deutsche Bank.

Median blended-forward PEG multiple by industry group, Stoxx 600





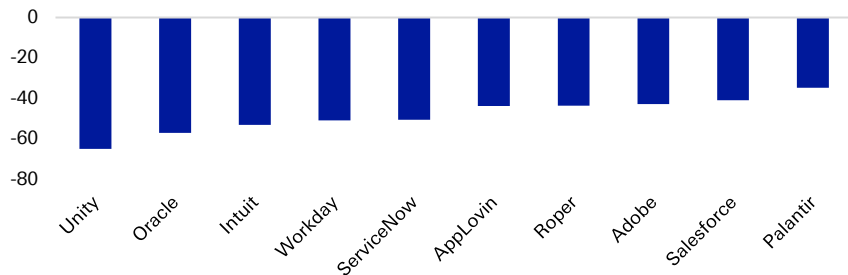
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Selected US stocks

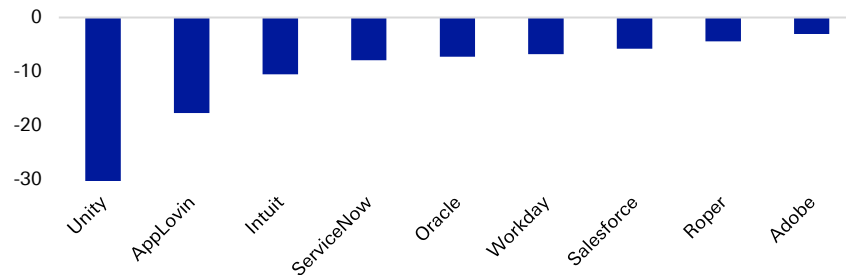
Sector focus: Software – This group had by far the largest number of battered firms, with the ten below falling by at least 30% despite being at least \$20bn market cap firms at the start of the rout. All have delivered at least 10% p.a. sales growth over the last 3 years and now trade at least 25% below analysts' target price.



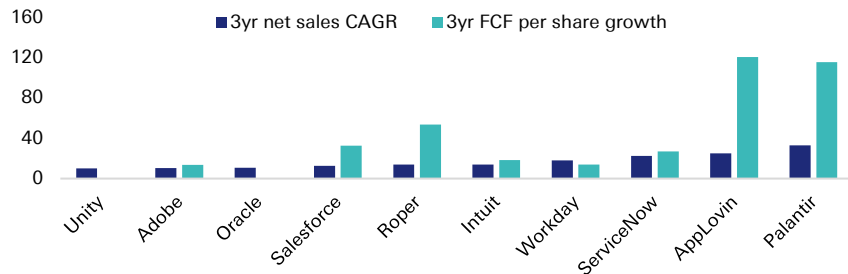
Software: price change from 52 week high



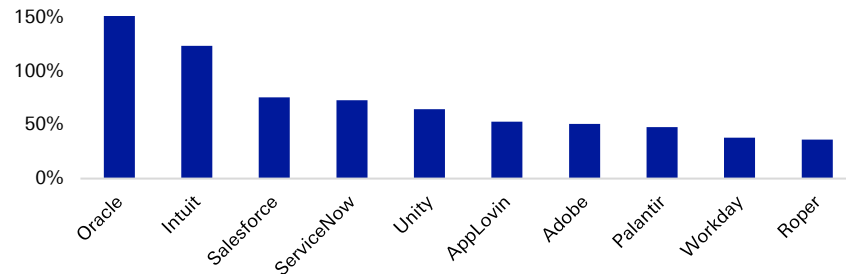
Software: change in P/E (since the 12-Jan market peak)



Software: fundamentals growth (%)



Software: upside (downside) to analyst target price*



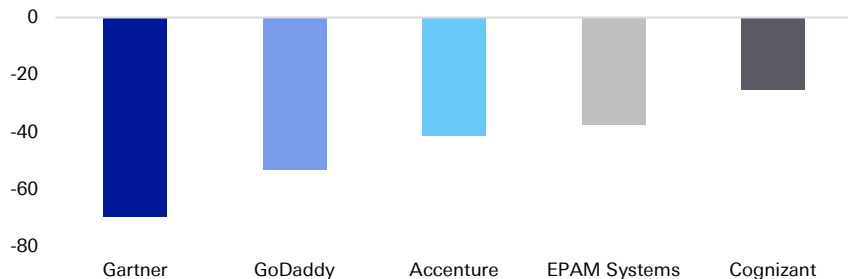
Source: Bloomberg Finance LP, Deutsche Bank.

* Upside is relative to Deutsche Bank Research's price target if available. If not, Bloomberg consensus expectations are used.

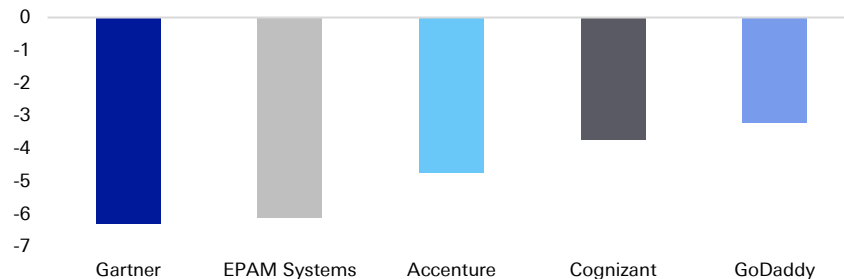
Sector focus: IT Services – Smaller and more specialised firms have also fallen but less indiscriminately and upsides to analyst targets are smaller. They have also delivered decent sales and free cash flow growth recently.



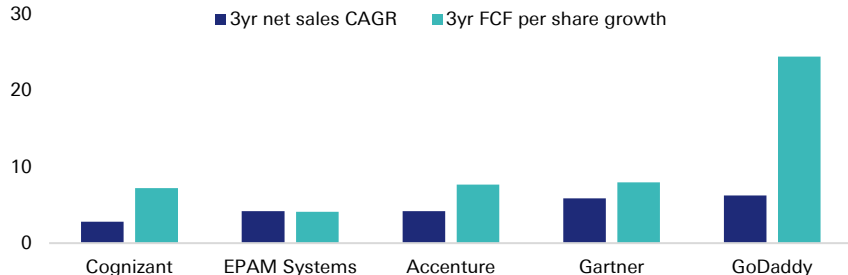
IT services: price change from 52 week high



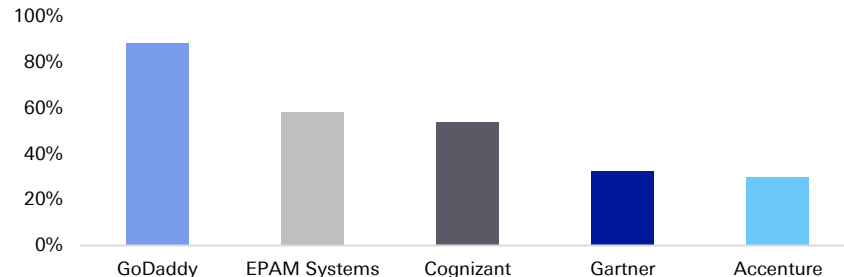
IT services: change in P/E (since the 12-Jan market peak)



IT services: fundamentals growth (%)



IT services: upside (downside) to analyst target price*



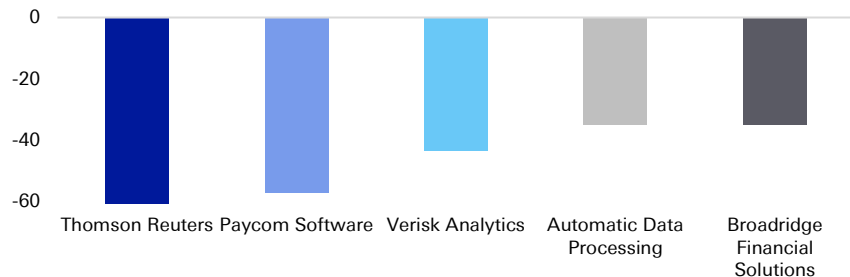
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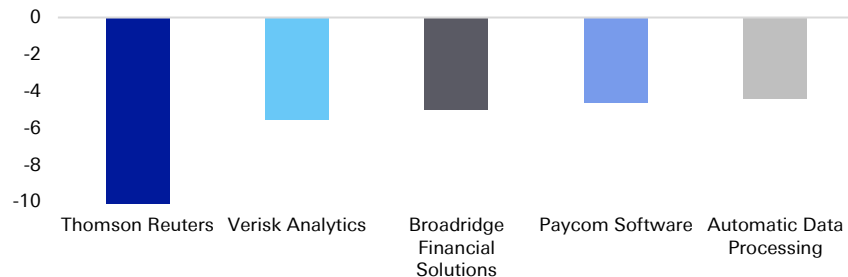
Sector focus: Professional services – It's been a similar picture for this industry group, but with weaker upside potential based on analyst targets. So, despite the spillover to other service companies, this implies that the software industry has been disproportionately hit.



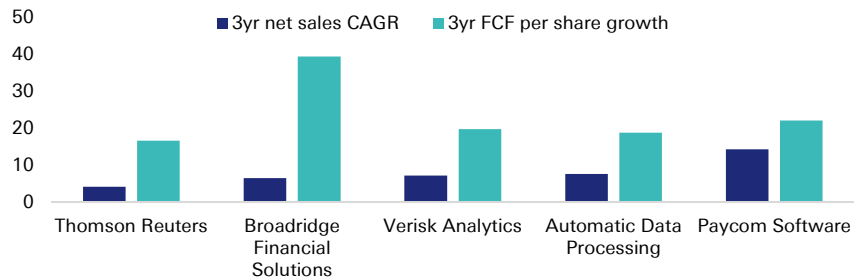
Professional services: price change from 52 week high



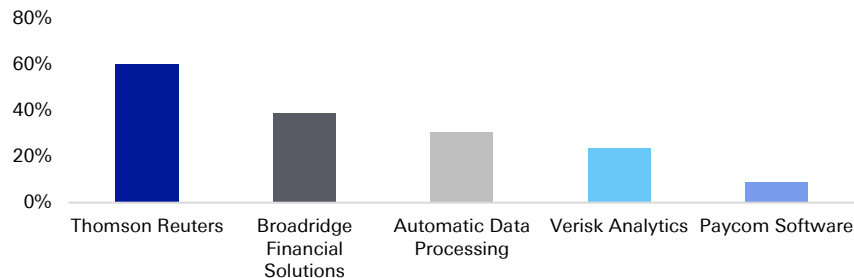
Professional services: change in P/E (since the 12-Jan market peak)



Professional services: fundamentals growth (%)



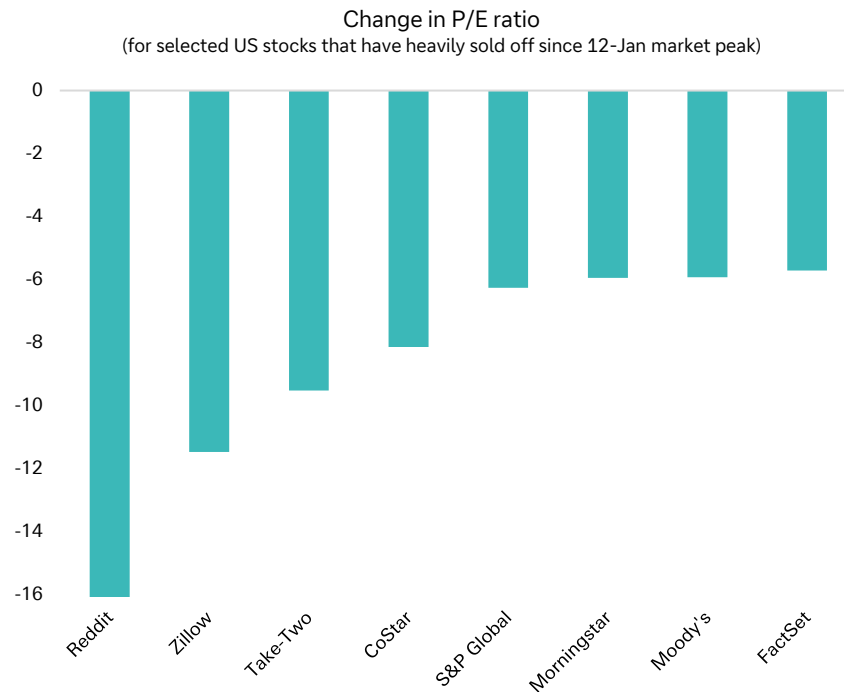
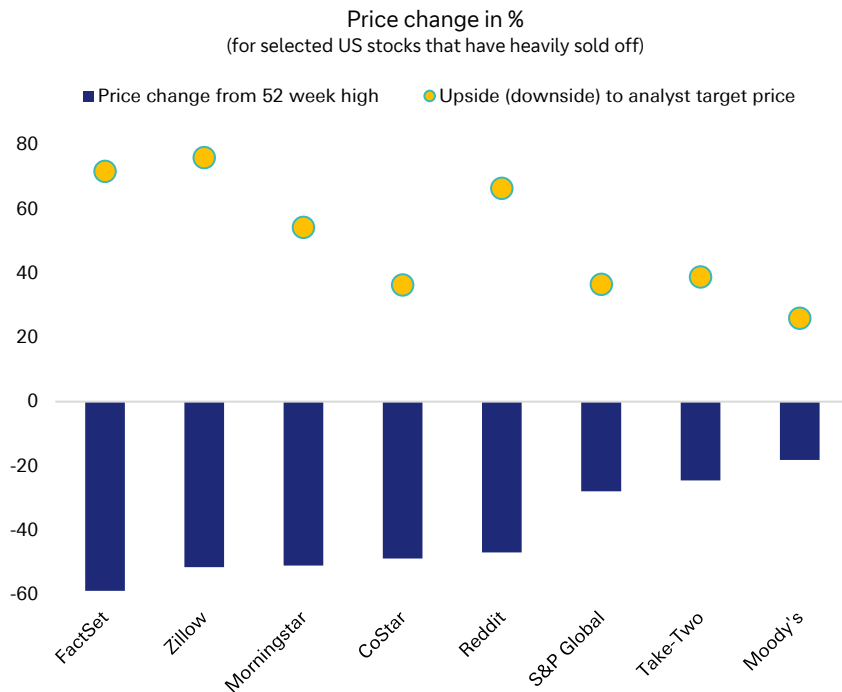
Professional services: upside (downside) to analyst target price*



Source: Bloomberg Finance LP, Deutsche Bank. Note: Thomson Reuters is a Canadian company and is not part of the Russell 1000 index but is included for relevance

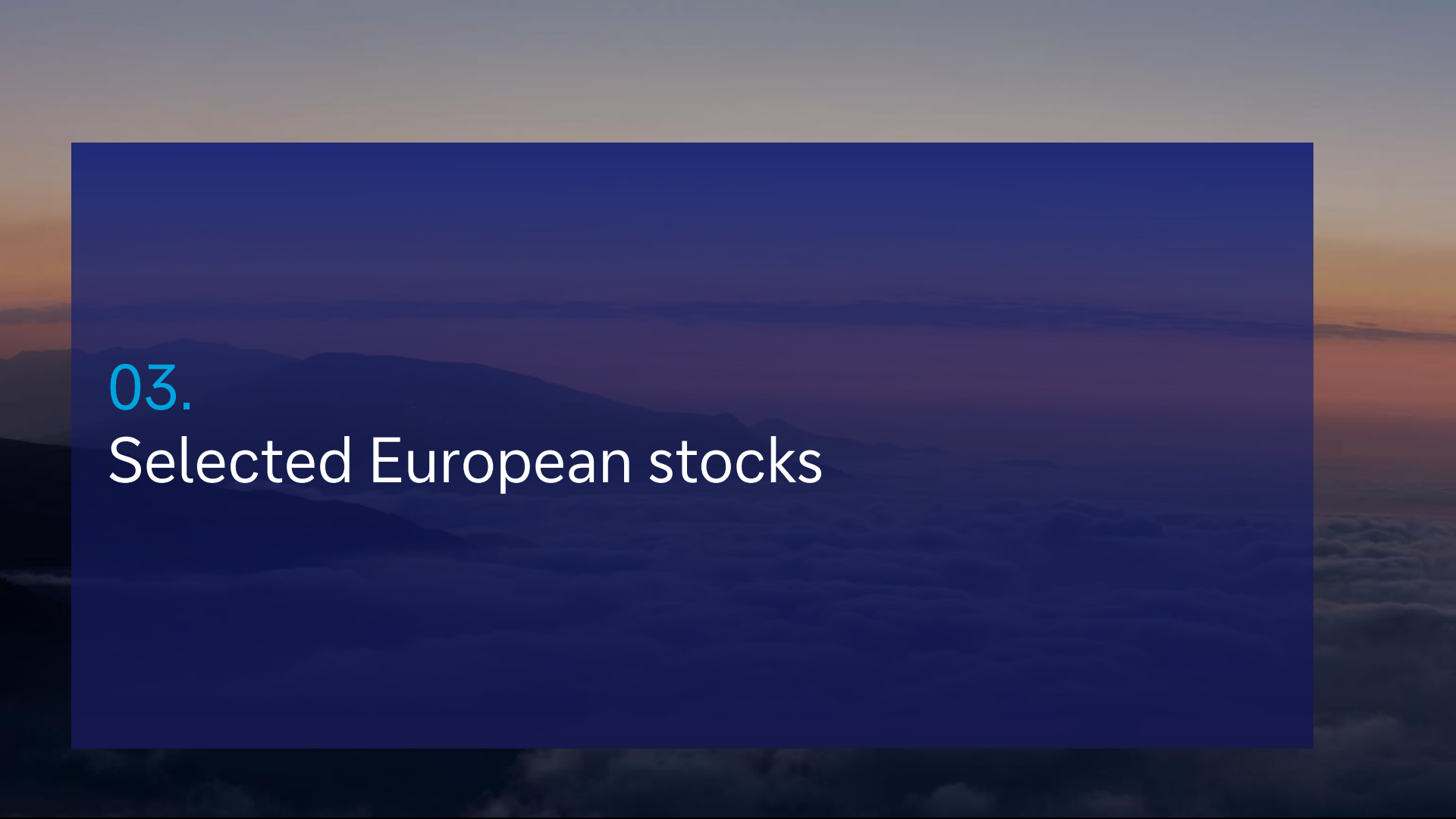
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Other notable decliners in the US featured companies involved in real estate, gaming and financial research, showing the depth and breadth of markets' AI disruption fears



Source: Bloomberg Finance LP, Deutsche Bank.

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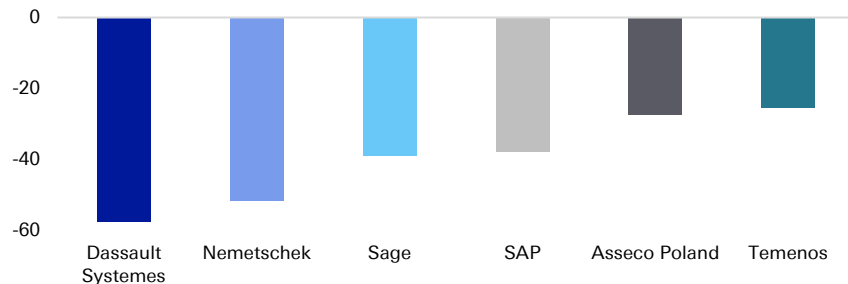


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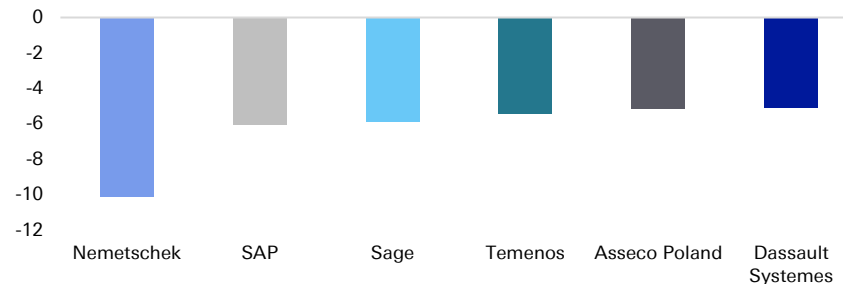
Selected European stocks



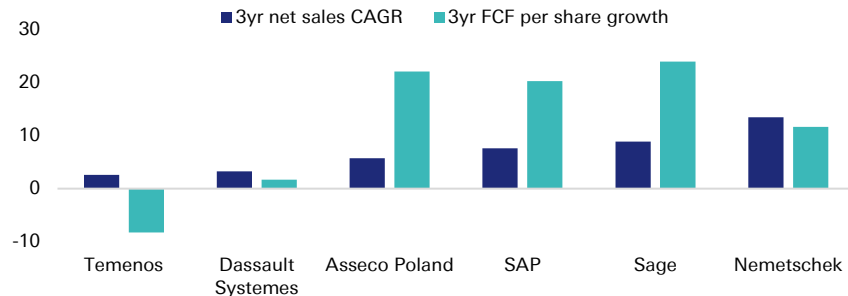
Price change from 52 week high



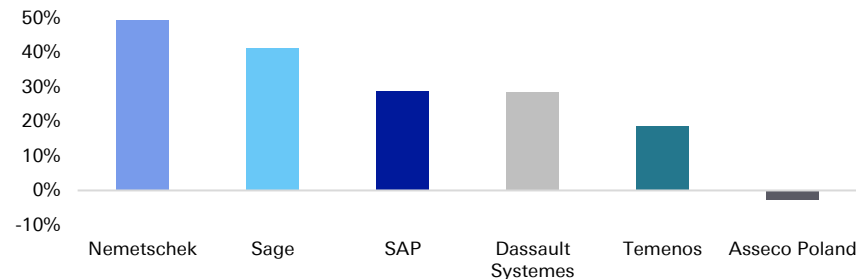
Change in P/E (from 12-Jan)



Fundamentals growth (%)



Upside (downside) to analyst target price*

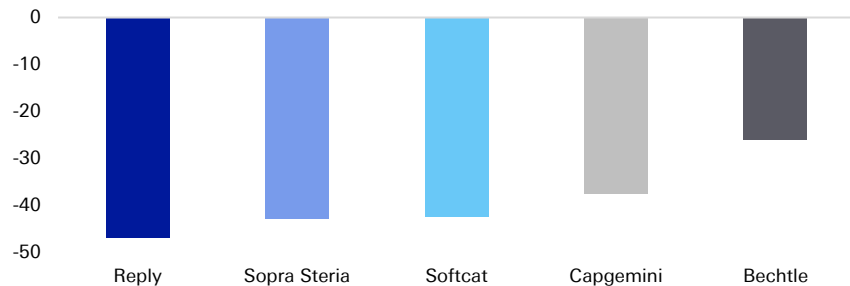


Source: Deutsche Bank.

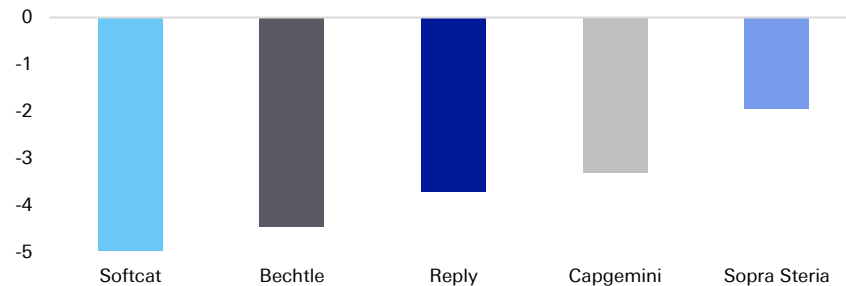
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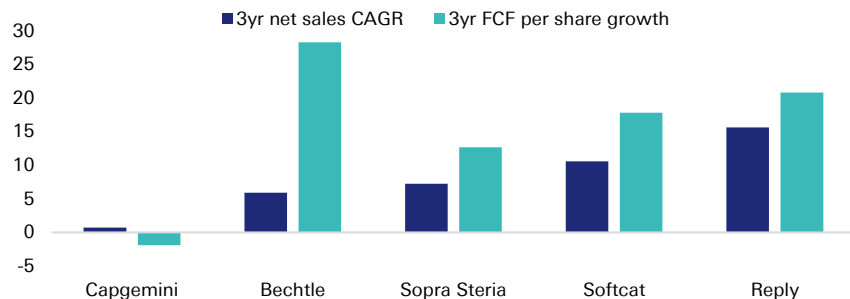
Price change from 52 week high



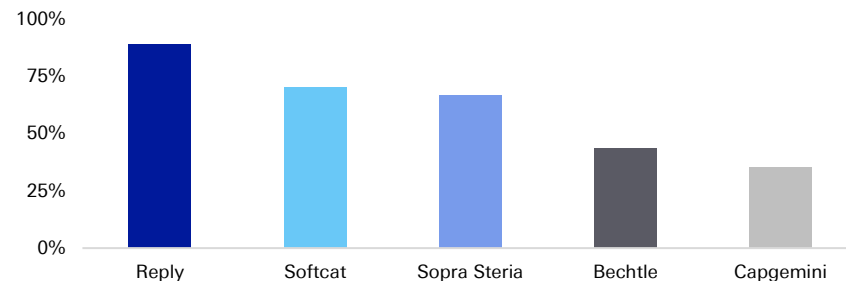
Change in P/E (from 12-Jan)



Fundamentals growth (%)



Upside (downside) to analyst target price*

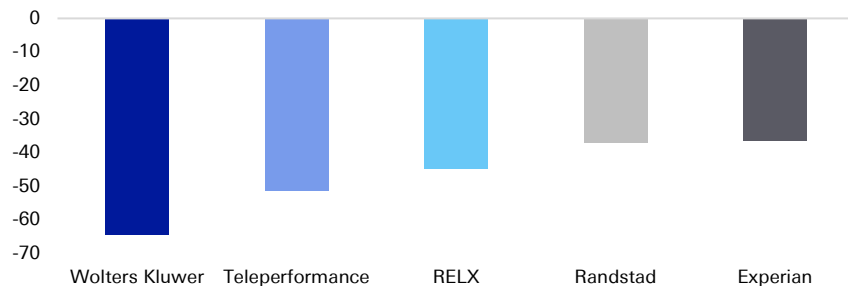


Source: Deutsche Bank.

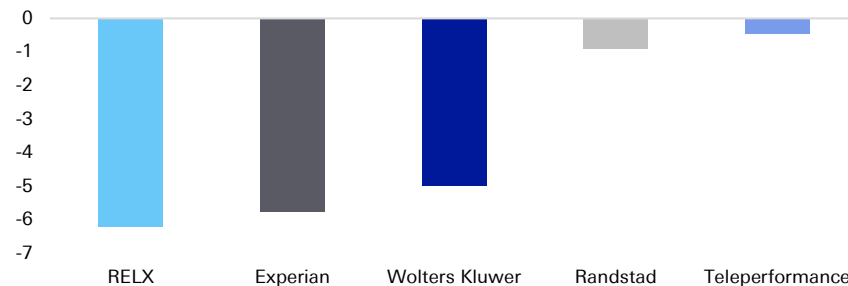
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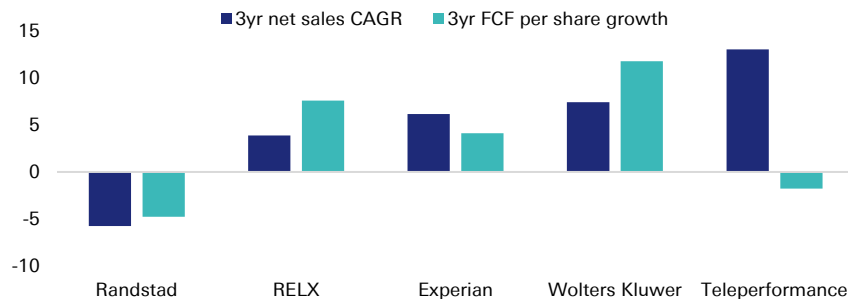
Price change from 52 week high



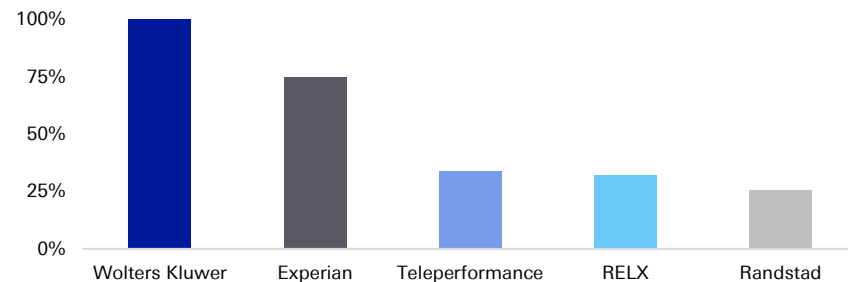
Change in P/E (from 12-Jan)



Fundamentals growth (%)



Upside (downside) to analyst target price



Source: Deutsche Bank.

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Appendix 1

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